

CH – 7: IAS 2 - INVENTORIES

Practice Questions

1. Which of the following is correct?

- (i) Inventories include assets held for sale in the ordinary course of business.
- (ii) Inventories include assets held for use in administrative activities.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

2. Which of the following is correct?

- (i) Cost of inventory includes purchase price net of trade discounts.
- (ii) Cost of inventory includes refundable sales tax.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

3. Which of the following is correct?

- (i) In a trading business, inventory consists only of finished goods.
- (ii) In a manufacturing business, work-in-process is part of inventory.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

4. Which of the following is correct regarding the periodic inventory system?

- (i) Inventory account is continuously updated.
- (ii) Closing inventory is determined by physical count at period end.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

5. Which of the following is correct regarding the perpetual inventory system?

- (i) Cost of sales is updated at each sale.
- (ii) Physical count of inventory is compulsory for valuation purposes.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

6. Which of the following is correct?

(i) Normal losses in transit are included in the cost of inventory.

(ii) Abnormal losses in warehouse are also included in the cost of inventory.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

7. Which of the following is correct regarding purchase cost of inventory?

(i) Import duties and non-refundable taxes form part of purchase cost.

(ii) General administrative expenses form part of purchase cost.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

8. Which of the following is correct?

(i) FIFO assumes that items purchased first are sold first.

(ii) Under FIFO, closing inventory consists of oldest purchases.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

9. Which of the following is correct regarding the weighted average method?

(i) Weighted average rate is calculated after each transaction in the perpetual system.

(ii) Weighted average rate is calculated only at period end in the periodic system.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

10. Which of the following is correct regarding cost of conversion?

- (i) Fixed production overheads are allocated based on normal capacity.
- (ii) Variable production overheads are allocated based on actual production.

- a) Only I
- b) Only II
- c) Both are correct**
- d) Both incorrect

11. Which of the following is correct regarding Net Realizable Value (NRV)?

- (i) NRV is estimated selling price less estimated cost of completion and selling costs.
- (ii) NRV is determined using historical selling prices.

- a) Only I**
- b) Only II
- c) Both are correct
- d) Both incorrect

12. Which of the following is correct regarding write-down of inventory?

- (i) Write-down is recognized as an expense in the period it occurs.
- (ii) Write-down is recognized directly in equity.

- a) Only I**
- b) Only II
- c) Both are correct
- d) Both incorrect

13. Which of the following is correct?

- (i) Inventories are usually written down to NRV on an item-by-item basis.
- (ii) Grouping of homogeneous inventories for NRV comparison is also allowed.

- a) Only I
- b) Only II
- c) Both are correct**
- d) Both incorrect

14. Which of the following is correct regarding disclosures under IAS 2?

- (i) Amount of inventories recognized as expense during the period is disclosed.
- (ii) Carrying amount of inventories pledged as security is disclosed.

- a) Only I
- b) Only II

c) Both are correct

d) Both incorrect

15. Which of the following statements are correct:

- (1) Inventories are assets held for sale in the ordinary course of business.
- (2) Inventories are measured at cost or net realizable value, whichever is higher.

a) Both are correct b) None is correct **c) Only 1** d) Only 2

16. Which of the following statements are correct:

- (1) Net realizable value is estimated selling price less estimated costs of completion and selling expenses.
- (2) NRV may sometimes be lower than cost due to physical damage or decline in selling prices.

a) Both b) None c) Only 1 d) Only 2

17. Which of the following statements are correct:

- (1) Weighted average method smooths out price fluctuations.
- (2) Specific identification method is used for homogeneous goods.

a) Both b) None **c) Only 1** d) Only 2

18. Which of the following statements are correct:

- (1) Storage cost of finished goods is normally excluded from cost of inventory.
- (2) Administrative overheads unrelated to purchases are not part of inventory cost.

a) Both b) None c) Only 1 d) Only 2

19. Which of the following statements are correct:

- (1) Freight inwards is included in cost of inventory.
- (2) Freight outwards is part of selling expenses.

a) Both b) None c) Only 1 d) Only 2

20. Which of the following statements are correct:

- (1) Periodic system records inventory movements continuously.
(2) Perpetual system maintains continuous records of quantities and cost.
a) Both b) None c) Only 1 **d) Only 2**

21. Which of the following statements are correct:

- (1) Purchase returns reduce the cost of purchases.
(2) Sales returns increase cost of goods sold.
a) Both b) None **c) Only 1** d) Only 2

22. Which of the following statements are correct:

- (1) Materials and supplies used in production are inventories.
(2) Work-in-progress represents goods partially completed.
a) Both b) None c) Only 1 **d) Only 2**

23. Which of the following statements are correct:

- (1) When NRV falls below cost, inventory is written down.
(2) Reversal of write-down is permitted when NRV increases.
a) Both b) None c) Only 1 d) Only 2

24. Which of the following statements are correct:

- (1) Trade discounts reduce purchase price immediately.
(2) Non-refundable taxes are included in cost of purchases.
a) Both b) None c) Only 1 d) Only 2

25. Which of the following statements are correct:

- (1) Import duties refundable later are included in inventory cost.
(2) Commission paid to agent for clearance of materials is included in cost.
a) Both b) None c) Only 1 **d) Only 2**

26. Which of the following statements are correct:

- (1) Under perpetual weighted average, cost per unit changes after each purchase.
(2) Under periodic average, average is calculated at period end.

a) **Both** b) None c) Only 1 d) Only 2

27. Which of the following statements are correct:

- (1) Purchase price less trade discount + import duty + carriage inward = Cost of purchases.
- (2) Recoverable taxes are added to inventory cost.

a) Both b) None c) **Only 1** d) Only 2

28. Which of the following statements are correct:

- (1) IAS 2 requires disclosure of inventory policies.
- (2) Inventories are shown under non-current assets.

a) Both b) None c) **Only 1** d) Only 2

29. Which of the following statements are correct:

- (1) Opening inventory + purchases – closing inventory = cost of goods sold.
- (2) In periodic system, closing inventory appears only in SOFP.

a) Both b) None c) **Only 1** d) Only 2

30. Which of the following statements are correct:

- (1) NRV test is performed item by item or group of homogeneous items.
- (2) Inventories can be valued on total basis ignoring differences.

a) Both b) None c) **Only 1** d) Only 2

31. Which of the following statements are correct:

- (1) Cost of inventories does not include packing material used for dispatch of goods
- (2) Selling commission is included in inventory cost.

a) Both b) None c) **Only 1** d) Only 2

32. Which of the following statements are correct:

- (1) IAS 2 requires inventories to be presented at cost or NRV which ever is lower
- (2) Write-down is recognized as expense in the period of loss.

a) Both b) None c) Only 1 d) Only 2

33. Which of the following statements are correct:

- (1) FIFO produces higher profit during inflation.
- (2) Weighted average results in lower closing inventory during increase in prices.

a) Both b) None c) Only 1 d) Only 2

34. Which of the following statements are correct:

- (1) Periodic inventory is determined by physical count at year end.
- (2) Perpetual system automatically reveals closing balance anytime.

a) Both b) None c) Only 1 d) Only 2

35. Which of the following statements are correct:

- (1) Inventory cost excludes interest on overdue payments.
- (2) Insurance of goods in transit is part of inventory cost.

a) Both b) None c) Only 1 d) Only 2

36. Which of the following statements are correct:

- (1) In perpetual system, purchase of goods on credit increases inventory and liability.
- (2) Payment to creditor reduces inventory balance.

a) Both b) None **c) Only 1** d) Only 2

37. Which of the following statements are correct:

- (1) The cost of inventories includes all costs incurred in bringing the inventories to their present location and condition.
- (2) Selling expenses and abnormal wastages are also included in the cost of inventories.

a) Both are correct b) None is correct **c) Only 1** d) Only 2

38. Which of the following statements are correct:

- (1) Net Realizable Value (NRV) reflects the estimated selling price in the ordinary course of business less costs to complete and sell.
- (2) NRV is determined after deducting administrative overheads from the expected selling price.

a) Both b) None **c) Only 1** d) Only 2

39. Which of the following statements are correct:

- (1) If an item of inventory is damaged or obsolete, its NRV may be lower than cost.
- (2) Any write-down to NRV is recognized as expense in the period of loss.

a) Both b) None c) Only 1 d) Only 2

40. Which of the following statements are correct:

- (1) Under the perpetual inventory system, the inventory account is updated continuously after each transaction.
- (2) Under the periodic system, closing inventory is determined through a year-end physical count.

a) Both b) None c) Only 1 d) Only 2

41. Which of the following statements are correct:

- (1) Cost formulas such as FIFO and weighted average are used to assign costs to inventory units.
- (2) IAS 2 prohibits the use of specific identification for unique, high-value items.

a) Both b) None **c) Only 1** d) Only 2

42. Which of the following statements are correct:

- (1) Inventories are written down to NRV when cost is higher than expected selling price.
- (2) Such write-downs should be recognized as expense in the period of write down.

a) Both b) None c) Only 1 d) Only 2

43. Which of the following statements are correct:

- (1) NRV should be assessed for heterogeneous inventory separately.
- (2) However, items purchased and sold in the same product line may be grouped for NRV assessment.

a) Both b) None c) Only 1 d) Only 2

44. Which of the following statements are correct:

- (1) Freight inwards and import duties are directly attributable costs forming part of inventory valuation.
- (2) Freight outwards and delivery expenses to customers are also included in inventory cost.

a) Both b) None **c) Only 1** d) Only 2

45. Which of the following statements are correct:

(1) When inventory is sold, its carrying amount is recognized as an expense in the same period as related revenue.

(2) This treatment ensures proper application of the matching principle.

a) Both b) None c) Only 1 d) Only 2

46. Which of the following statements are correct:

(1) When inventories are written down to NRV, the write-down is recognized as an expense in the period of the decline.

(2) (1) IAS 2 requires inventories to be valued item by item or by groups of similar or related items.

a) Both are correct b) None is correct c) Only 1 d) Only 2

47. Which of the following statements are correct:

(1) When a company uses the FIFO method, the closing inventory is assumed to consist of the most recently purchased goods.

(2) During periods of rising prices, FIFO produces a lower closing inventory value than the weighted-average method.

a) Both are correct b) None are correct **c) Only 1** d) Only 2

48. The closing stock of Daniel amounts to Rs. 130,200. But later on it was discovered that some damaged items were included having cost of Rs. 25,000. Total repair cost is expected to be Rs. 3,500. After repair these could be sold for Rs. 18,000.

What is the correct value of Daniel inventory?

- a) **Rs. 119,700**
- b) Rs. 123,200
- c) Rs. 112,200
- d) Rs. 126,700

49. Jazib Associates has 40 units of inventory, out of which 10 units are damaged. The cost per unit is Rs. 2,554 and normal selling price is Rs. 2,900. The damaged units are expected to be sold at 60% of normal selling price. The selling cost of Rs. 150 are incurred on each unit sold, whether normal or damaged. What is the amount of write down of inventory, if any?

- (a) Rs. 964
- (b) Rs. 9,640**

- (c) Rs. 92,520 (d) Rs. Nil

50. Maria had opening inventory of 900 units at Rs. 5 units at 01 January 2019. During the month she made following purchases and sales transactions:

January 05	Purchased 1,000 units at Rs. 6 per unit
January 09	Sold 1,250 units
January 15	Purchased 600 units at Rs. 7 per unit
January 28	Sold 550 units

Maria uses periodic weighted average cost method for inventory valuation. What is cost of closing inventory at 31 January 2019?

- (a) Rs. 4,800 (b) **Rs. 4,116**
(c) Rs. 6,468 (d) None of the above

51. If closing inventory is accounted for as Rs.240,000 instead of Rs.180,000 then;

- (a) **Gross profit as well as net profit will be exaggerated**
(b) Gross profit and net profit would both be understated
(c) Gross profit will be exaggerated, and net profit understated
(d) Gross profit will be exaggerated but net profit correctly reported

52. At end of accounting period, three inventory items were valued and related information is given below:

Item A	Cost Rs. 20,000	Sales price 10% markup	Commission 6%
Item B	Cost Rs. 28,500	Sales price 5% margin	Commission 6%
Item C	Cost Rs. 15,000	Sales price Rs. 16,300	Selling expenses Rs. 2,000

What will be value of inventory at period end in accordance with IAS-2 Inventories?

- (a) Rs. 63,500 (b) Rs. 68,300
(c) **Rs. 62,500** (d) Rs. 64,500

53. Samra has provided following data for the month of July, 2022.

Stock as at 1 July 2022	500 units at Rs. 50 each
Purchase - 7 July 2022	700 units at Rs. 53 each
Sales – 15 July 2022	400 units at Rs. 70 each
Purchase – 22 July 2022	600 units at Rs. 52 each
Sales – 29 July 2022	650 units at Rs. 70 each

Samra adopted perpetual inventory system and weighted average method for valuation of inventory. The cost of closing inventory at end of July 2022 was (to the nearest rupee):

- (a) **Rs. 38,891** (b) Rs. 40,450
(c) Rs. 3886- (d) Rs. 39,980

54. Following transactions relate to the month of April 2022:

April 1	Balance b/d	600 units at Rs. 20 each
April 5	Purchase	400 units at Rs. 21 each
April 10	Sales	650 units at Rs. 30 each
April 15	Purchase	400 units at Rs. 22 each
April 18	Purchase return	100 units at Rs. 22 each?
April 20	Sales	250 units at Rs. 30 each
April 30	Sales	50 units at Rs. 30 each

What shall be cost of inventory at month of April 2022 under FIFO method assuming periodic inventory system is in operation?

- A. Rs. 7,450
B. Rs. 7,350
C. Rs. 7,700
D. Rs. 7,650
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